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Act No. 146 (S.189). An act relating to establishing a process for the elimination of certain hospital services

Subjects: Health; hospitals; Agency of Human Services; Green Mountain Care Board; service eliminations

This act requires a hospital to provide a preliminary notice of intent to the Agency of Human Services, the Green Mountain Care Board, and the Office of the Health Care Advocate if the hospital is considering eliminating certain services, including emergency department, primary care, obstetrics, or inpatient psychiatric services. The notice must include the rationale for the proposed elimination, the financial impacts of keeping the service and of eliminating the service, and all alternatives that the hospital considered and the reasons they were not pursued. The act directs the Agency of Human Services to evaluate the information and the impacts of the proposed elimination, and it allows the Agency and the Green Mountain Care Board to consult with the hospital to explore ways to keep the service or otherwise address the issues that led to the proposed elimination.

A hospital that is considering eliminating a service not listed in the act may also choose to initiate a consultation process with the Agency and the Board. The act requires the Agency and Board to keep information about the preliminary processes and consultations confidential. If a hospital chooses to go ahead with eliminating one of the services listed in the act after the consultation process, the act requires the hospital to provide to the Agency, the Board, the Health Care Advocate, and the members of the General Assembly who represent the hospital service area a notice of intent explaining the rationale for the proposed elimination and providing a timeline and transition plan. The notice also must be posted on the hospital's website and published in a local newspaper, and the hospital must conduct a public engagement process that includes at least one public hearing, as well as soliciting and responding to public comments. If the hospital chooses to proceed with eliminating one of the services listed in the act after the public engagement process, the hospital must notify the Agency to inform its health care transformation work and the Board so it can review the impact to the hospital's budget.

The act repeals the notice of hospital service reductions process that was enacted in 2025 Acts and Resolves No. 68, Sec. 5 and replaced by the process established by the act. It also directs the Board, after being notified that a hospital is going forward with eliminating one of the services listed in the act, to review the impact on the hospital's approved budget and make adjustments as necessary, which may include directing any savings from the elimination to be reflected in health insurance premiums or reinvested in primary care, prevention, and other community-based services.

Effective Date: June 16, 2026